

variables inherent to your wealth equation, you can get wealthy. Those variables are:

$$\text{Net Profit} = \text{Units Sold} \times \text{Unit Profit}$$

~ and ~

$$\text{Asset Value} = \text{Net Profit} \times \text{Industry Multiple}$$

All business owners leverage this equation, in which [units sold] $\times$ [unit profit] will determine net profit. Using my Internet company as an example, my unit profit was approximately \$4 for every Web site conversion. (A conversion was a user who generated a lead). On any given day, I had 12,000 people visiting my Web site. This means my “units sold” variable had an upper threshold of 12,000 per day. I had the opportunity to “sell” 12,000 people per day.

Let’s compare this variable to the Slowlane’s counterpart of hours worked. Under my wealth equation, my upper limit of wealth is “units sold” and currently stood at 12,000. Of course, 100% conversion is unreasonable, and “converting” all 12,000 is unlikely. Likewise, in the Slowlane, the unreasonable upper limit is 24 because there are only 24 hours in the day. Logically, the real upper limit is 8 to 12 hours per day.

What is going to make you rich? An upper limit of exposure to 12,000 people per day? Or maximizing your hours worked in the day? That’s 12,000 vs. 24. No contest. I get rich and the Slowlaner gets old.

Controllable unlimited variables will make you rich. So how did I control this variable? How is it unlimited? Simple. My average conversion ratio was 12%. If I want to make more profit, I don’t walk into the boss’s office and ask for a raise. No, I have several weapons available for deployment.

1) Raise Units Sold by Increasing Conversion Ratio

A 1% increase from 12% to 13% would give me an instant raise of about \$480 per day. That’s \$14,400 per month. If I redesign the Web site, hit a home run and get conversion to 15%, now I’ve expanded my income to over \$43,000 PER MONTH.

2) Raise Units Sold by Increasing Web Traffic

To raise profit, I can increase traffic. If I increase Web users to my Web site from 12,000 to 15,000 and conversion stays at 12%, my daily income rises by \$1,440 per day, or \$43,200 per month! Not likely? It happened! On some days I would have traffic spikes where over 20,000 users would visit.

3) Raise Unit Profit

If I detect a weakness in supply for my service or improve value, I can raise prices and increase my unit profit. If my unit profit moves from \$4 to \$4.50,